

The 6:15

WEDNESDAY · AUGUST 12, 2026

NO. 4

THE BOARD

CALENDAR — NEXT 10 DAYS

Wed Aug 12	July CPI, 8:30a ET (after press time) — cons. headline +3.4% YoY, core +2.5% YoY; Cisco (CSCO) earnings, aft. close — cons. EPS \$1.17, rev \$16.83B; Nebius, Cerebras also report
Thu Aug 13	July PPI & jobless claims (cons. not verified this run); Applied Materials (AMAT), aft. close — cons. EPS ~\$3.36–3.39, rev ~\$9.0B; 30-yr Treasury auction, \$25B, 1:00p
Fri Aug 14	July retail sales; UMich sentiment, prelim
Tue Aug 18	Home Depot (HD) earnings, BMO — cons. EPS \$4.71; Alaska top-four primary
Wed Aug 19	Target (TGT) earnings, BMO — cons. EPS ~\$2.29 (range varies); TJX, Estée Lauder also report
Thu Aug 20	Walmart (WMT) earnings, BMO — cons. EPS \$0.74; Deere (DE) — cons. EPS \$4.85
Tue Sep 16	Next FOMC decision

OPEC+: no ministerial meeting this window; 68th JMMC not until 10/4. Notable, past 24–48h: a Long March-7A exploded seconds after liftoff Mon 8/10 from Wenchang (rare failure), delaying LandSpace's Zhuque-3 debut to 8/31; ULA's Vulcan launches USSF-106 today, its first national-security payload. VC: Aureka Biotechnologies raised a \$100M Series B (single-sourced, unverified). No frontier AI model release verified via primary source this run — omitted. Special primaries held Tue 8/11 in South Carolina (GOP Senate) and Alabama (redistricted House).

METRICS · ~6:10–6:30A ET AUG 12

Brent / WTI / spread	\$88.70 (–0.24%) / \$82.99 (–0.24%) / \$5.71 (TradingEconomics, ~6:10a; Tue settle context +2.1% to ~\$89.50)
UST 2y / 10y / 30y	4.22% / 4.70% / 5.24% (Treasury CSV, published 8/11); 2s10s 48bp
DXY	99.74 (+0.02%) (alt read 99.85, +0.18%)

S&P / Nasdaq-100 futures	+0.28% / +0.71% (Investing.com, premarket)
VIX	15.28 (Tue cash close; Wed reading not yet available)
Gold (spot)	\$4,418.30 (+1.17%) — Kitco, 6:22a ET
Nikkei / Hang Seng	67,630 +0.99% (alt 67,524 +0.83%) / 25,440.17 -0.83% (Tue close)
DAX / FTSE / CAC	+0.26% / 10,844.19 (% n/c) / 8,714.94 -0.13% (Tue close; Wed session in progress)
Retail gas, natl. avg.	\$4.036/gal (AAA, 8/12)

Brent/WTI both essentially flat overnight across feeds (TradingEconomics, straits.live, oilprice.com) after Tuesday's spike — no fresh ICE settle at press time.

HORMUZ COUNTERS

Closure	Day 164 (straits.live, 10:23 UTC 8/12)
Transits vs. baseline	8 vessels 8/8 vs. 73/day pre-crisis, ~11% (PortWatch AIS, multi-day lag)
Weekly transits	84, wk 7/27–8/2, up 87% from 45 (Lloyd's List) (later "84" reading unverified, likely duplication)
Strikes (24h / running)	1 — Vela Nova disabled by 2 Hellfire missiles (CENTCOM) / 55 redirected, 3 disabled, 2 boarded since 7/14
Dark tankers / stranded	22 AIS-dark, 24h / 357 stranded / 17 transiting (straits.live)
War-risk premium	30.0× pre-crisis; ~\$10.0M/VLCC passage — unchanged vs. Tue (straits.live)

PortWatch/AIS counts individual vessel movements with a multi-day lag; Lloyd's List aggregates weekly commercial transits >10,000 dwt with Iran-link attribution; straits.live blends broker war-risk quotes with dark-ship detection — don't average or net them. Correction: Tuesday's "six P&I clubs withdrew war-risk cover entirely" overstates a narrower March 2026 action (five clubs cancelled charterers'-liability extensions, not core P&I cover) — per Lloyd's List.

TRANSACTIONS

Northwestern	Uihlein family committed \$35M/3yr to the football program (Tue 8/11)
Yankees / Knicks	No reported roster moves (Josh Hart extension-eligible since 8/10, unsigned)

CoreWeave blows past estimates, Alphabet slides on capex and a DeepMind exit — the AI trade is splitting.

CoreWeave reported second-quarter results Tuesday after the close that beat on both lines: revenue of roughly \$2.58B (some outlets say \$2.6B) against a \$2.56B consensus (Bloomberg), up 112% year over year, and an adjusted per-share loss of \$1.03–\$1.14 (figures vary slightly by outlet) against a consensus loss of roughly \$1.20–\$1.41. *(Fact: beat confirmed across CNBC, Yahoo Finance and Investing.com; exact decimals not fully reconciled.)* Shares jumped 13–14% in after-hours trading to roughly \$102 (CNBC). Backlog now exceeds \$104B, up 246% year over year, on 51 active data centers and 1.5 gigawatts of active power as of June 30. Management raised 2026 revenue guidance to \$12.4B–\$13.2B, above the roughly \$12.63B consensus, and disclosed new business in the quarter with Anthropic and Meta.

But the same quarter that vindicated CoreWeave's compute-scarcity thesis also widened its GAAP net loss to \$626M, from \$290M a year ago, driven by surging interest expense on the debt funding its buildout. That's precisely the mechanism Nvidia's \$500B financing push — the non-binding MOUs with Apollo, Blackstone, BlackRock, Brookfield, Goldman Sachs and KKR disclosed Monday — is aimed at addressing: shifting some of that interest-rate exposure off compute providers' balance sheets and onto asset managers willing to underwrite debt backed by the chips and contracts themselves. CoreWeave's print is the clearest evidence yet of why that market needs to exist. Demand and backlog are real and

growing; financing cost is eating into the upside anyway. *(Read: the beat validates AI-compute demand, but doesn't resolve who absorbs the cost of building the supply.)*

Alphabet is the other side of the same coin. Shares fell as much as 3.6% Tuesday (TradingKey) on two fronts landing at once: a DeepMind leadership shakeup, with CEO Demis Hassabis stepping down to chairman and AI scientist Jeff Dean departing to start a new venture, and a capex number that's now hard to wave off. Alphabet raised its 2026 capital-expenditure forecast to \$195B–\$205B, with quarterly capex up 100% year over year to \$44.9B — pushing free cash flow negative for the first time. The same week, Alphabet closed a \$25B senior notes offering with maturities running from 2028 to 2066 to help fund the buildout. *(Read: the market is starting to price hyperscaler AI capex as a credit event as much as an operating expense — the same repricing question CoreWeave's own interest bill just made concrete from the supply side.)*

Tuesday's broader tape reflected the split rather than resolving it: the Dow fell 0.34% to 53,791.85, the S&P 500 slid 0.32% to 7,728.20, and the Nasdaq dropped 0.6% to 26,445.45 (Washington Post) — a down day driven as much by Alphabet's single-stock move and Hormuz-linked crude strength as by anything systemic. Energy majors outperformed again on the oil spike (see Iran & Hormuz, below); airlines gave back ground on jet-fuel costs, a split that's now recurred through most of this war.

Second-order, and the reason tonight matters: Cisco reports after the close (consensus \$1.17 EPS on \$16.83B revenue), with options traders pricing an 8.2%–8.3% post-earnings move — above the stock's own 7.75% four-quarter average. UBS is modeling 29% product-order growth on AI-infrastructure demand but flags gross-

margin pressure, cutting margins to roughly 66% on higher component costs. If Cisco's networking backlog echoes CoreWeave's, it reinforces that infrastructure demand is still outrunning financing comfort — the dynamic today's July CPI print, due at 8:30a ET after this issue goes to press, complicates further either way: a hotter-than-expected core reading tightens financial conditions right as hyperscalers are issuing record volumes of debt to fund the buildout Wall Street's been asked to trust. (*Developing — CPI is the swing variable this issue can't yet see.*)

POLITICS

The Senate passed the bipartisan "Sanctioning Russia and Iran Act of 2026" — extending Iran sanctions through 2031 — by a lopsided margin before leaving for recess; a bipartisan group of House members, including McCaul, Fitzpatrick and Hoyer, introduced an identical companion bill Tuesday, though the House itself remains in recess with no vote scheduled. Separately, Senate Democrats led by Elizabeth Warren opened an investigation into administration deportation actions against active-duty military family members, citing an AP finding of more than 50 detained parents and spouses and 282 veteran or military families targeted for ICE removal proceedings. Special primaries were held Tuesday in South Carolina (a GOP Senate primary) and Alabama (redistricted House seats); Alaska's top-four primary follows Aug. 18 (see Board). With both chambers now largely out of session into September, further U.S. action on Hormuz in the interim runs through the executive branch alone.

ECONOMICS

Today's July CPI (BLS, 8:30a ET — after this issue's press time) is the swing print investors are positioning around: Dow Jones consensus sees headline inflation at 3.4% year over year (+0.1% month over month) and core at 2.5% (+0.2% month over month), continuing the cooldown from June's 2.6% core reading (CNBC, NBC News); Kalshi prediction markets were pricing an even tamer outcome as of Monday. The setup: the Fed's July 29 hold saw three dissents in favor of a hike — Cleveland's Beth Hammack, Minneapolis's Neel Kashkari and Dallas's Lorie Logan — the most hawkish dissent count since 2016, per a Forbes retrospective published Monday. July's outright 23,000 payroll contraction argued for easier policy; oil's run since (still up double digits versus late July despite this morning's modest pullback) argues the other way via the CPI transportation-fuel component, though pass-through typically lags by a month or two. The curve has already drifted dovish since Tuesday — 2Y, 10Y and 30Y each down roughly 4 basis points to 4.22%, 4.70% and 5.24% — arguably front-running a soft print; a hot one would unwind that quickly.

BUSINESS

General Motors confirmed (Bloomberg) it will sell its 49.99% stake in its Indiana EV-battery joint venture to Samsung SDI, which becomes sole owner of the New Carlisle, Ind., plant — Samsung's first standalone North American manufacturing hub, doubling as an energy-storage-cell site; the two companies are separately signing a deal to co-develop a next-generation prismatic battery cell. Read: an EV-capex retreat running in parallel with, not instead of, the AI-capex surge — GM is trimming a lower-return bet at the same time hyperscalers are leveraging up for AI (see Lead). Applied Materials

reports Thursday (consensus EPS ~\$3.36–3.39, revenue ~\$9.0B) as the next chip-capex data point after tonight's Cisco print.

TECHNOLOGY

Microsoft is reportedly planning to unveil its next-generation Maia 300 AI chip in September, seeking more than 300,000 TSMC units for 2027 delivery with longer-run ambitions above 1 million **(single-sourced: The Information, via TrendForce)** — constrained by tight TSMC advanced-packaging capacity through 2027, where Nvidia reportedly still controls roughly 60% of the queue. Google is said to be pursuing a parallel path, targeting 12–15 million TPUs by 2028 **(single-sourced)**. Neither timeline is confirmed by the companies themselves. Read: both are hedges against Nvidia dependence that only work if packaging capacity, not chip design, stops being the binding constraint — the same capacity-versus-financing tension running through today's Lead, just one layer down the stack, in silicon instead of dollars.

GEOPOLITICS

Mojtaba Khamenei's Monday military reshuffle drew its first wave of outside analysis this run rather than new facts on the ground: George Washington University's Sina Azodi read it as reflecting the IRGC's institutional strength and a hardline "keep pressuring Trump" faction gaining ground, while some Iranian commentators countered it could ultimately ease the path to a deal by clarifying who in Tehran is authorized to make one. One added personnel detail: IRGC veteran Mohsen Rezaei was named national security chief alongside the six commander appointments already reported Tuesday. Separately, Pakistan's defense minister said Tuesday that "things are shaping up again in favor of a peace arrangement," citing Islamabad's mediating role alongside Oman and Qatar **(a third-party characterization, not confirmed by Washington or Tehran)** — still the most positive line from any side since last week's stalled Oman shipping-lane reporting. Also newly reported this run, and multiply sourced (Washington Post, NBC, CBS, Al Jazeera, PBS, Times of Israel): Trump secretly switched planes leaving the NATO summit in Ankara on July 8, using Air Force One as a decoy while he was moved via catering truck to a smaller C-32A jet, after what officials described as a "credible Iran-related assassination threat." However dated, it's a concrete data point on how seriously Washington has been treating personal threat risk from this conflict, independent of the public "100%-control" posture.

IRAN & HORMUZ

The clearest overnight escalation: a U.S. Navy helicopter fired two Hellfire missiles into the engine room of the Panama-flagged M/V

Vela Nova on Tuesday afternoon after it ran the naval blockade toward an Iranian port — the third vessel the U.S. has disabled since reimposing the blockade July 14, against a cumulative CENTCOM tally of 55 vessels redirected, 3 disabled and 2 boarded. Separately, and just outside the strait proper, a Houthi strike on the Egyptian-flagged Tihamah in the Bab el-Mandeb killed six crew members — the first shipping fatalities tied to the Houthis in more than a year, part of their announced blockade of Saudi Arabia. Notably, oil didn't move on either headline: Brent and WTI are both roughly flat to down 0.2%–0.4% overnight (see Board) despite the clearest kinetic escalation of the week — a sign the market had already priced ongoing blockade enforcement, or that Pakistan's "peace arrangement" framing (see Geopolitics) is doing some offsetting work. One correction to note: a claim carried in Tuesday's issue that six P&I insurance clubs "withdrew war-risk cover entirely" appears to overstate a narrower March 2026 action — five clubs cancelled charterers'-liability war-risk extensions specifically, not core P&I cover, per Lloyd's List; retracting the broader framing here.

SPORTS

Yankees

Beat Mariners 4-1 Tue (four-run 7th). Record **not confirmed** — sources diverge (64-51 vs. 66-52/67-52); trail AL East-leading Tampa Bay (72-46); hold AL's No. 1 wild card. Next: vs. Seattle, tonight 7:05p.

Knicks

Off-season, no game. Josh Hart extension-eligible since 8/10, unsigned.

Northwestern

Off-season, no game. Uihlein family gave \$35M/3yr Tue. Opener 9/5 vs. South Dakota State.

Continuity. Dropped as unchanged since Tuesday: the Khamenei command roster (established), Nvidia's \$500B MOU mechanics (no signed deal yet), Senate recess/Blanche-confirmation specifics, Oman shipping-lane deal terms, TSMC's July print. Corrected: the "six P&I clubs" claim

from Tuesday's issue (see Iran & Hormuz). Yankees record needs reconciling against an authoritative box score before repeating either figure.

Unverified figures are marked in red. Nothing was estimated or filled from memory.